of people. The primary disadvantage of a corporation is that its income may be subject to double taxation (income is taxed when it is earned and again when it is distributed to stockholders as dividends).

SUPPLEMENT B: EMPLOYMENT IN THE ACCOUNTING PROFESSION TODAY

An accountant may be licensed as a certified public accountant, or **CPA.** This designation is granted only on completion of requirements specified by the state that issues the license. Although CPA requirements vary among states, they include a college degree with a specified number of accounting courses and a total of 150 credit hours, good character, professional experience, and successful completion of a professional examination. The CPA examination is prepared by the American Institute of Certified Public Accountants.

Accountants (including CPAs) commonly are engaged in professional practice or are employed by businesses, government entities, nonprofit organizations, and so on. Accountants employed in these activities may take and pass a professional examination to become a certified management accountant, or **CMA** (the CMA examination is administered by the Institute of Management Accountants), or a certified internal auditor, or **CIA** (the CIA examination is administered by the Institute of Internal Auditors). Specialists in areas such as fraud examination may also apply for certification in those specialty areas (e.g., **CFE**).

CHAPTER 2: INVESTING AND FINANCING DECISIONS AND THE ACCOUNTING SYSTEM

Franchising is common in chain restaurants. Franchising involves selling the right to use or sell a product or service to another. This is an easy way for someone to start his or her own business because the franchisor often provides site location, design, marketing, and management training support in exchange for initial franchise fees and ongoing royalty fees usually based on weekly sales. Unlike most restaurant chains, however, Chipotle does not franchise the business. All restaurants are company-owned.

What Information is Included in the Balance Sheet?

ASSUMPTIONS

- **Separate entity assumption**: states that each business's activities must be accounted for separately from the personal activities of its owners, all other persons, and other entities.

This means, for example, that, when an owner purchases property for personal use, the property is not an asset of the business.

- **Going concern assumption:** (also called the continuity assumption), unless there is evidence to the contrary, we assume that the business will continue operating into the foreseeable future, long enough to meet its contractual commitments and plans. This means, for example, that if there was a high likelihood of bankruptcy, then its assets should be valued and reported on the balance sheet as if the company were to be liquidated (that is, discontinued, with all of its assets sold and all debts paid).
- **Monetary unit assumption**: each business entity accounts for and reports its financial results primarily in terms of the national monetary unit (e.g., dollars in the United States, yen in Japan, and euros in Germany), without any adjustment for changes in purchasing power (e.g., inflation).

MEASUREMENT CONCEPT

- **Historical cost:** accountants measure the elements of the balance sheet initially at their cost, which is the cash-equivalent value on the date of the transaction. For example, assets are initially recorded on the exchange date at the cash paid plus the dollar value of all noncash considerations, such as the trade-in value of a used asset.

ELEMENTS

ASSETS are economic resources owned or controlled by a company; they have measurable value and are expected to benefit the company by producing cash inflows or reducing cash outflows in the future.

List assets **in order of liquidity**, or how soon an asset is expected by management to be turned into cash or used.

- **Current assets** are those resources that the company will use or turn into cash within one year (the next 12 months). Current assets include Cash, Short-Term Investments (in the stocks and bonds of other companies), Accounts Receivable (due from customers and others), Supplies (to make and serve the food), and Prepaid Expenses (for rent, insurance, and advertising paid in advance of use). For manufacturers that produce and sell goods and merchandisers who sell already-completed goods, Inventory (for goods to be sold) also would be listed after Accounts Receivable. Inventory is always considered a current asset, regardless of how long it takes to produce and sell the inventory. Another common account title is Other Current Assets, which is a summary of several smaller accounts.
- All other assets are considered **long term (or noncurrent).** That is, they are to be used or turned into cash after the coming year. That includes property and equipment (Land, Buildings, and Equipment), Operating lease right-of-use assets (rented assets), and

Intangibles (nonphysical assets such as trademarks and patents) used over several years. Long term assets also includes the stocks and bonds of other companies.

LIABILITIES are defined as measurable obligations resulting from a past transaction; they are expected to be settled in the future by transferring assets or providing services.

Entities that a company owes money to are called **creditors**.

Liabilities are usually listed on the balance sheet **in order of maturity** (how soon an obligation is to be paid).

- Liabilities that will need to be paid or settled within the coming year (with cash, goods, other current assets, or services) are classified as **current liabilities**.

  Current liabilities include Accounts Payable (to suppliers), Unearned Revenue (for unredeemed gift cards that have been purchased by customers), Accrued Expenses Payable (more specifically, Wages Payable and Utilities Payable, although additional accrued liabilities may include Interest Payable, among others) and Current Lease Liabilities representing the current amount owed on leases from renting facilities, for example, in shopping centers. Companies may also include Income Taxes Payable (due to federal, state, and local governments) and Other Current Liabilities (a summary of several smaller accounts).

  Distinguishing current assets and current liabilities assists external users of the financial statements in assessing the amounts and the timing of future cash flows.

- **Noncurrent liabilities** include Notes Payable (written promises to pay the amount borrowed and interest as specified in the signed agreement) and Long-term Lease Liabilities (the amount owed beyond the next 12 months for rent of buildings).

STOCKHOLDERS' EQUITY (also called shareholders' equity or owners' equity) is the residual interest in the assets of the entity after subtracting liabilities. It is a combination of the financing provided by the owners and by business operations.

- **Financing Provided by Owners** is referred to as **contributed capital**. Owners invest in the business by providing cash and sometimes other assets, receiving in exchange shares of stock as evidence of ownership. Common Stock and Additional Paid-in Capital are the accounts used to represent the amount investors paid when they purchased the stock from the company. Note, however, that the Treasury Stock account reduces stockholders' equity. **Treasury Stock** represents the amount the company paid to its investors when the company repurchased from investors a portion of previously issued common stock.

- **Financing Provided by Operations** is referred to as earned capital or **retained earnings**. When companies earn profits, they can be distributed to owners as dividends or reinvested in the business. The portion of profits reinvested in the business is called Retained Earnings. Companies with a growth strategy often pay little or no dividends to retain funds for expansion. Note: Retained earnings decreases when a firm has a loss or pays dividends

UNRECORDED BUT VALUABLE ASSETS AND LIABILITIES

- Many very valuable **intangible assets**, such as trademarks, patents, and copyrights that are developed inside a company (not purchased), are not reported on the balance sheet.
- Many large companies have some form of off-balance-sheet financing—obligations not reported as liabilities on the balance sheet.

  For example, Chipotle's recent 10-K states that "leases with an initial term of 12 months or less . . . are not recorded on the consolidated balance sheets." The notes to the financial statements indicated that the company incurred about $3 million in short- term lease cost out of about $345 million. This illustrates the importance of reading the notes, not just the financial statements, when analyzing a company's financial information and predicting future cash flows.

WHAT BUSINESS ACTIVITIES CAUSE CHANGES IN THE FINANCIAL STATEMENTS?

Accounting focuses on certain events that have an economic impact on the entity. Those events that are recorded as part of the accounting process are called transactions.

The first step in translating the results of business events to financial statement numbers is determining which events to include. As the definitions of assets and liabilities indicate, only economic resources and obligations resulting from past transactions are recorded on the balance sheet. Transactions include two types of events:

- 1. **External events:** These are exchanges of assets, goods, or services by one party for assets, services, or promises to pay (liabilities) from one or more other parties. Examples include the purchase of a machine from a supplier for cash, sale of merchandise to customers on account (store credit), borrowing of cash from a bank and signing a promissory note for repayment, and investment of cash in the business by the owners in exchange for ownership shares.

  2. **Internal events:** These include certain events that are not exchanges between the business and other parties but nevertheless have a direct and measurable effect on the entity. Examples include using up insurance paid in advance and using buildings and equipment over several years.

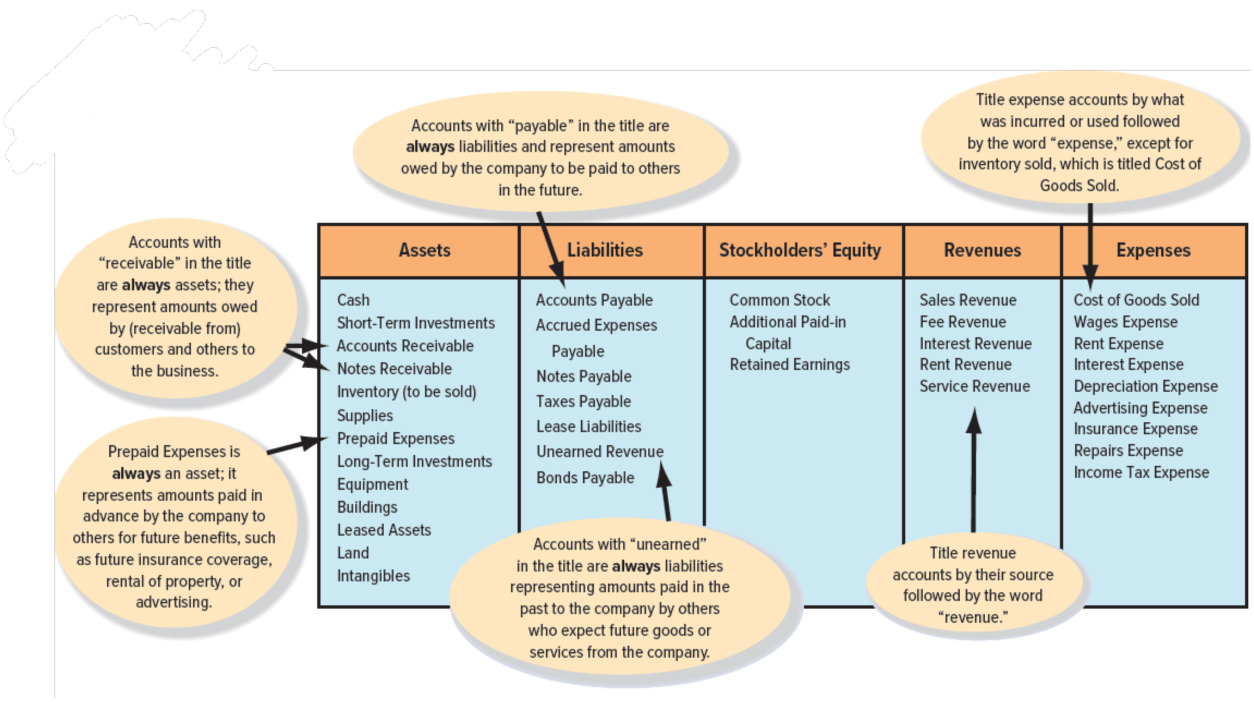
Some important events that have a future economic impact on a company, however, are not reflected in the financial statements. In most cases, signing a contract is not considered to be an accounting transaction because it involves only the exchange of promises, not of assets such as cash, goods, services, or property.

ACCOUNTS

To accumulate the dollar effect of transactions on each financial statement item, organizations use a standardized format called an account. The resulting balances are kept separate for financial statement purposes. To facilitate the recording of transactions, each company establishes a **chart of accounts**, a list of all account titles and their unique numbers. The accounts are usually organized by financial statement element, with asset accounts listed first, followed by liability, stockholders' equity, revenue, and expense accounts in that order.

- Every company creates its own chart of accounts to fit the nature of its business activities. Once you select a name for an account, you must use that exact name in all transactions affecting that account.

The accounts you see in the financial statements of most large corporations are actually summations (or aggregations) of a number of specific accounts in their recordkeeping system.



PRINCIPLES OF TRANSACTION ANALYSIS

Because business decisions often involve an element of risk, managers should understand exactly how transactions impact the financial statements. The process for determining the effects of transactions is called transaction analysis.

The two principles underlying the transaction analysis process follow:

• **Every transaction affects at least two accounts**; correctly identifying those accounts and the direction of the effects (whether an increase or a decrease) is critical.

• **The accounting equation must remain in balance after each transaction.**

The idea that every transaction has at least two effects on the basic accounting equation is known as the **dual effects concept**. (From this concept, accountants have developed what is known as the double-entry system of recordkeeping.) Most transactions with external parties involve an exchange by which the business entity both receives something and gives up something in return.

The accounting equation must remain in balance after each transaction. That is, total assets (resources) must equal total liabilities and stockholders' equity (claims to resources). If all correct accounts have been identified and the appropriate direction of the effect on each account has been determined, the equation should remain in balance.

Steps to follow in analyzing investing and financing transactions:

Step 1: Ask → What was received?
- Identify the account(s) affected
- Classify the account(s) by type of element:
  - Asset (A)
  - Liability (L)
  - Stockholders' Equity (SE)
- Determine the direction and amount of the effect(s):
  - The account increased (+)
  - The account decreased (−)

Step 2: Ask → What was given?
- Repeat–Identify, Classify, and Determine effect

Step 3: Verify → Is the accounting equation in balance? (Does A = L + SE?)

Example: **A company borrows $100 from a bank**

Step 1: What was **received?** Cash (+A) 100

Step 2: What was **given?** A written promise to repay the loan called Notes Payable (+L) 100

Step 3: Is the **accounting equation** in balance? A 100 = L 100 + SE 0

A	=	L	+	SE
+100	=	+100		

THE ACCOUNTING CYCLE

For most organizations, recording transaction effects and keeping track of account balances in the manner just presented is impractical. To handle the multitude of daily transactions that a business generates, companies establish accounting systems, usually computerized, that follow a cycle.

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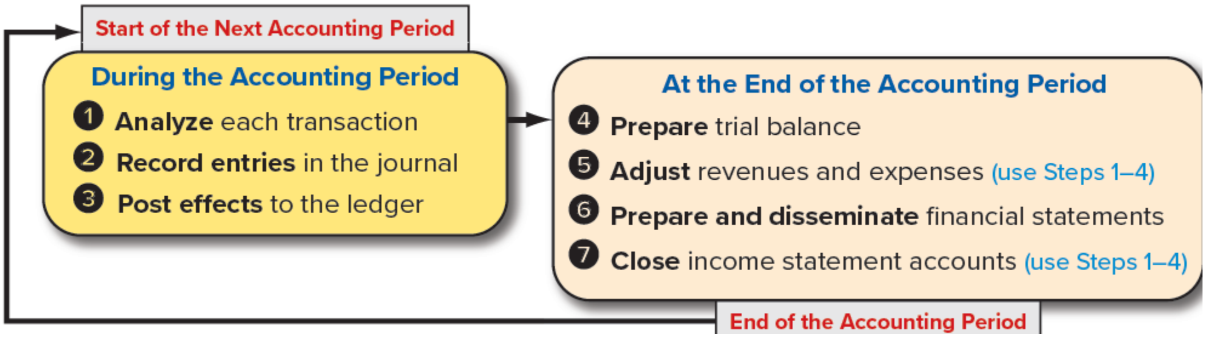


HOW DO COMPANIES KEEP TRACK OF ACCOUNT BALANCES?

During the accounting period, transactions that result in exchanges between the company and External parties are first analyzed to determine the accounts and effects. The effects are then Recorded in the **general journal**, a listing in chronological order of each transaction's effects. To Determine account balances, the accounts are updated by posting the effects listed in the general Journal to the respective accounts in the **general ledger**, a record of effects to and balances of each Account.

These formal records are based on two very important tools used by accountants: **journal entries and T-accounts**. From the standpoint of accounting systems design, these analytical tools are a more Efficient way to reflect the effects of transactions, determine account balances, and prepare financial Statements.

BASIC TRANSACTION ANALYSIS MODEL

The T-account has a left side, called the debit side, and a right side, called the credit side.

Transactions increase and decrease assets, liabilities, and stockholders' equity. The model reflects the direction of these effects. It is critical to note that the increase symbol (+) is located on the left side of the T for accounts on the left side of the accounting equation (assets) and on the right side of the T for accounts on the right side of the equation (liabilities and stockholders' equity).

From this transaction analysis model, we can observe the following:

- Increases in asset accounts are on the left because assets are on the left side of the accounting equation (a = l + se).
- Increases in liability and stockholders' equity accounts are on the right because they are on the right side of the accounting equation (a = l + se).
- The words "debit" and "credit" have no specific meaning other than that they represent the left and right sides of the ledger account.

• the term **debit** (dr for short) always refers to the left side of the t.

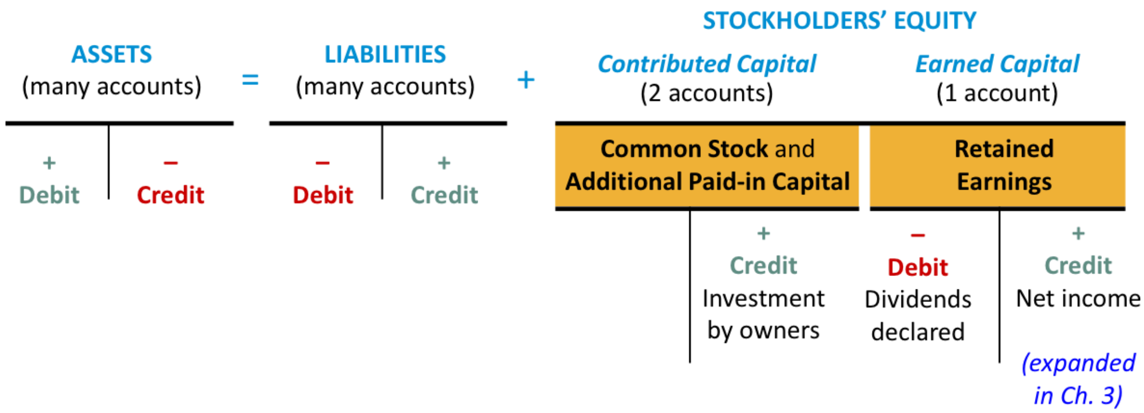
• the term **credit** (cr for short) always refers to the right side of the t.

As a consequence:

- Asset accounts **increase on the left (debit) side** and normally have **debit balances.** It would be highly unusual for an asset account, such as inventory, to have a negative (credit) balance
- Liability and stockholders' equity accounts **increase on the right (credit) side** and normally have **credit balances**.

If you have identified the correct accounts and effects through transaction analysis, the accounting equation will remain in balance.

The total dollar value of all debits will equal the total dollar value of all credits in a transaction. For an extra measure of assurance, add this equality check (Debits = Credits) to the transaction analysis process.

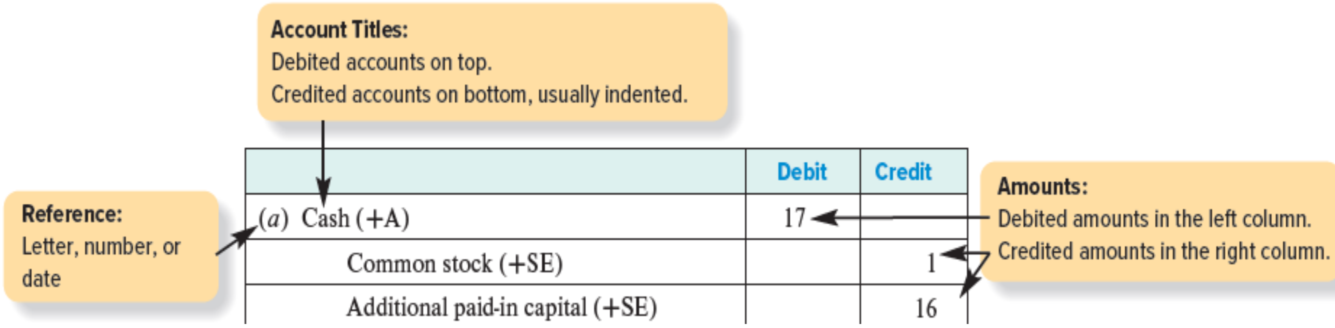


THE JOURNAL ENTRY

In an accounting system, transactions are recorded in **chronological order** in a **general journal** (or, simply, journal).

After analyzing the business documents (such as purchase invoices, receipts, and cash register tapes) that describe a transaction, the effects on the accounts are recorded in the journal using debits and credits

The journal entry represents an accounting method for expressing the effects of a transaction. It is written in a debits-equal-credits format.

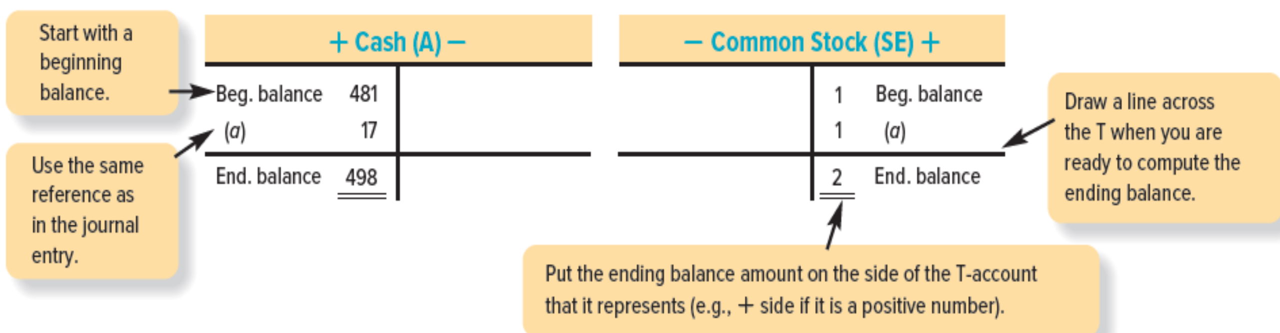


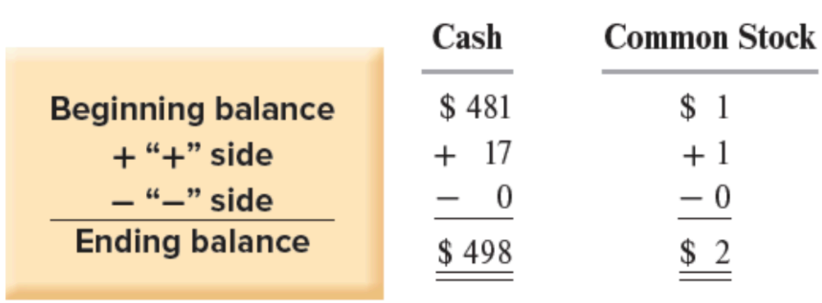
While learning, it is better to use the symbols A, L and SE next to each account title in the journal entries. For example, if cash is to be increased, we can write "Cash (+A)". In addition, dollar signs are not needed.

INFERRING BUSINESS ACTIVITIES FROM T-ACCOUNTS

In many cases, we will use **T-accounts** to determine what transactions a company engaged in during a period.

If we know the beginning and ending balances of Accounts Payable and the amount of purchases on account (for credit) during a period, we can determine the amount of cash paid.





To find the account balances, we can express the T-accounts as equations as illustrated above.

USING BIG DATA FOR BUSINESS EXPANSION

Data Analytics (also called Business Intelligence and Big Data) has exploded in the past several years, but what is it? SAS (a world leader in business analytics software and services) describes it as follows:

Big data analytics examines large amounts of data to uncover hidden patterns, correlations and other insights. With today's technology, it's possible to analyze your data and get answers from it almost immediately. . . .

By collecting structured data from various sources inside the business (from accounting, human resources, supply chain, and sales) and unstructured data from outside the business (from social media, customers, and weather and traffic patterns), companies worldwide are now making more **data-driven business decisions**. These decisions can be aimed at decreasing costs, identifying new innovative opportunities, launching new products and services, and transforming the business for the future.

Beginning in 2017, Chipotle increased its investment in technological innovations, such as digital/ mobile ordering, which provides more information about its customers. Chipotle also uses data analytics for new restaurant site selection. The company gathers demographic and business information about each area, as well as information on competitors and other restaurants, and uses a predictive model to project sales and return on investment for each potential restaurant site. Chipotle, like most companies, understands the importance of creating a data-driven culture to change the way it thinks.

TRIAL BALANCE

Although no operating activities occurred yet it is possible to create a balance sheet based solely on the investing and financing activities recorded previously. Usually, businesses first will create a **trial balance spreadsheet for internal purposes** before preparing statements for external users.

A **trial balance** lists the **names of the T-accounts** in one column, usually in financial statement order (assets, liabilities, stockholders' equity, revenues, and expenses), with their **ending debit or credit balances** in the next two columns. Debit balances are indicated in the left column and credit balances are indicated in the right column. Then the two columns are totaled to provide a check on the equality of the debits and credits. Errors in a computer-generated trial balance may exist if wrong accounts and/or amounts are used in the journal entries.

CLASSIFIED BALANCE SHEET

The balance sheet is prepared from the trial balance. As a formal statement for external users, it needs a good **heading** (name of the company, title of the statement, date, and if the dollars are in thousands or millions). Also:

• The assets and liabilities are classified into two categories: **current and noncurrent**. Current assets are those to be used or turned into cash within the upcoming year, whereas noncurrent assets are those that will last longer than one year. Current liabilities are those obligations to be paid or settled within the next 12 months with current assets.

• **Dollar signs** are indicated at the top and bottom of the asset section and top and bottom of the liabilities and shareholders' equity section.

• The statement includes **comparative data.** That is, it compares the actual but simplified account balances at December 31, 2019, with those at March 31, 2020, based on assumed quarterly transactions. When multiple periods are presented, the most recent balance sheet amounts are usually listed on the left, but not always (look carefully).

• Most companies do not provide a **total liabilities line** on the balance sheet. To determine total liabilities on those statements, add total current liabilities and each of the noncurrent liabilities.

INTERNATIONAL PERSPECTIVE

Although IFRS (International Financial Reporting Standards) differ from U. S. GAAP (Generally Accepted Accounting Principles), it uses the same system of analyzing, recording, and summarizing the results of business activities that you have learned in this chapter.

One place where IFRS differs from GAAP is in the **formatting** of financial statements.

Financial statements prepared using GAAP and IFRS include the same elements (assets, liabilities, revenues, expenses, etc.). However, a single, consistent format has not been mandated.

On the balance sheet, GAAP begins with current items, whereas IFRS begins with noncurrent items. Consistent with this, assets are listed in decreasing order of liquidity under GAAP, but, internationally, assets are usually listed in increasing order of liquidity. IFRS similarly emphasizes longer-term financing sources by listing equity before liabilities and, within liabilities, by listing noncurrent liabilities before current liabilities (decreasing time to maturity). The key to avoiding confusion is to be sure to pay attention to the subheadings in the statement. Any account under the heading "liabilities" must be a liability.

CHAPTER 3: OPERATING DECISIONS AND THE ACCOUNTING SYSTEM

THE OPERATING CYCLE

The operating cycle begins with the **purchase or manufacture of a product for sale**. When products are purchased from suppliers, those **suppliers must be paid**. After a sale has been made, the company must **deliver the product or service** to the customer. Many business sales